Basics of Marketing — Solved Answer Sheets

MBA Semester I • 2024 Pattern • Simple, exam-friendly English

Study note: Both uploaded Basics of Marketing papers are combined. Every listed question and internal OR option is included.

Answers include all visible questions and internal OR options in the uploaded paper(s).

May 2025 Paper

Q1(a) Marketing myopia [2 marks]

Marketing myopia occurs when a company focuses too much on its product and not enough on customers' real needs. For example, a transport company should focus on mobility, not only on selling vehicles.

Q1(b) Zero Moment of Truth (ZMOT) [2 marks]

ZMOT is the stage when a customer researches a product online before buying, such as reading reviews, watching videos or comparing prices.

Q1(c) Four major macro-environment forces [2 marks]

Common broad forces include economic, technological, political-legal and socio-cultural forces. A fuller PESTLE analysis also includes demographic, natural/environmental and legal factors.

Q1(d) Showrooming versus webrooming [2 marks]

Showrooming means inspecting a product in a physical shop and buying it online. Webrooming means researching online and then buying from a physical shop.

Q1(e) Forrester's Social Technographics segmentation [2 marks]

It groups consumers by how they participate online, such as Creators, Critics, Collectors, Joiners, Spectators and Inactives.

Q1(f) Customer satisfaction and delight [2 marks]

Satisfaction occurs when a product meets expectations. Delight occurs when the experience exceeds expectations and creates a positive surprise.

Q1(g) Components of holistic marketing [2 marks]

The main components are relationship marketing, integrated marketing, internal marketing and performance marketing.

Q1(h) Four Cs of connected marketing mix [2 marks]

A commonly used customer-focused version is Customer solution, Cost, Convenience and Communication.

Q2(a) How Diwali influences marketing strategies [5 marks]

Diwali increases demand for gifts, clothing, sweets, electronics, home products and decorations. Businesses offer festive packs, discounts, gift cards, limited-edition designs and special advertising. They use family, prosperity and celebration themes. For example, a clothing retailer may launch festive collections and provide gift packaging. Campaigns should respect cultural values and avoid misleading discounts.

Q2(b) Market potential and market share [5 marks]

Market potential is the maximum possible demand for a product in a defined market under stated conditions. Market share is the firm's sales as a proportion of total market sales. Formula: Market share = company sales ÷ total market sales × 100. If a company sells 10,000 units in a market of 100,000 units, its market share is 10%.

Q2(c) Omnichannel consumer behaviour [5 marks]

Omnichannel behaviour means customers use connected channels during one buying journey. They may discover a product on social media, compare it on a website, inspect it in a store and order through an app. For example, a customer checks a phone online, visits a shop to try it and later orders it online for home delivery. Consistent prices, stock information and service improve the experience.

Q3(a) Segmentation, targeting and positioning for a fast-food chain in India [10 marks]

Segmentation: divide customers by age, income, location, lifestyle and food preferences. Potential groups include students, office workers, families and travellers. Targeting: begin with urban students and working professionals who value quick service and affordable meals, while offering family options. Positioning: present the chain as tasty, hygienic, quick and affordable, with menu choices suited to local tastes. Use vegetarian options, regional flavours, clear ingredient information and combo meals. Promotion can include delivery apps, social media and college offers. Measure repeat orders, customer ratings and sales by segment.

Q3(b) Marketing environment for a new travel and tourism company in India [10 marks]

Macro factors: economic conditions affect travel budgets; technology enables online booking; social trends increase interest in experiences; government rules affect safety and permits; environmental concerns encourage responsible tourism. Micro factors include customers, competitors, hotels, transport providers, guides and online travel agents. Opportunities include heritage tours, weekend trips, adventure travel and local experiences. Challenges include seasonality, price competition, cancellations and safety. The company should select a clear niche, partner with reliable suppliers, provide transparent prices, use digital marketing and maintain strong customer support.

Q4(a) Consumer buying process for Kavya buying a two-wheeler [10 marks]

1. Need recognition: Kavya wants better features and fuel efficiency. 2. Information search: she checks websites, reviews, mileage figures and asks family and friends. 3. Evaluation of alternatives: she compares price, mileage, safety, comfort, service network and resale value. 4. Purchase decision: she chooses a model, test-rides it, checks financing and buys from a dealer. 5. Post-purchase behaviour: she evaluates performance and service; satisfaction may lead to recommendations, while problems may lead to complaints. Family influence and budget affect the decision.

Q4(b) Consumer buying process for Himanshu buying real estate in Pune [10 marks]

1. Need recognition: he needs a suitable home for his family. 2. Information search: he checks locations, builders, online listings, transport, schools and legal documents. 3. Evaluation: he compares price, size, connectivity, amenities, construction quality, possession date and loan options. 4. Purchase decision: he verifies title and approvals, negotiates, arranges finance and signs the agreement. 5. Post-purchase behaviour: he checks handover quality and service. Since real estate is costly and risky, family advice, legal checks and site visits are important.

Q5(a) Product Life Cycle strategies for an affordable Android dual-screen flip phone [10 marks]

Introduction: Product Life Cycle stages are introduction, growth, maturity and decline. Introduction: target technology-aware young customers and professionals; communicate the dual-screen feature, affordability and warranty; use demonstrations and online reviews. Growth: expand distribution, improve battery life and software, offer accessories and build service support. Maturity: differentiate through durability, camera, updates and bundles; use loyalty offers and control costs. Decline: refresh the model, serve a niche or discontinue it if demand falls. At every stage, collect customer feedback and maintain reliable after-sales service.

Q5(b) Marketing mix for beauty and personal care delivered within 30 minutes [10 marks]

Assumption: the company serves selected urban areas through small local fulfilment hubs. Product: popular skincare, haircare, hygiene and cosmetics from trusted brands, with clear expiry and authenticity checks. Price: competitive prices, bundles and transparent delivery fees. Place: mobile app, website and local hubs positioned near demand. Promotion: social media, introductory offers, beauty content and loyalty points. People: trained support staff and delivery partners. Process: live inventory, quick picking, secure payment and order tracking. Physical evidence: clean packaging, genuine products and clear return policies. Promise 30-minute delivery only within serviceable zones to avoid unrealistic commitments.

November 2024 Paper

Q1(a) Customer loyalty [2 marks]

Customer loyalty means a customer repeatedly chooses the same brand because of trust, satisfaction or perceived value. Example: a customer repeatedly buys from the same grocery store.

Q1(b) Five As of customer adoption [2 marks]

The five As are Aware, Appeal, Ask, Act and Advocate.

Q1(c) Major forces of micro environment [2 marks]

The micro environment includes the company, suppliers, marketing intermediaries, customers, competitors and publics.

Q1(d) Consumerisation [2 marks]

Consumerisation is the influence of consumer expectations and consumer technologies on business products and workplace practices. Example: employees expect workplace apps to be as easy to use as personal apps.

Q1(e) Market share [2 marks]

Market share is a firm's sales divided by total market sales, multiplied by 100. Example: 5,000 sales out of 50,000 total sales equals 10%.

Q1(f) Niche marketing [2 marks]

Niche marketing focuses on a small, clearly defined customer group with specific needs that larger competitors may not serve well.

Q1(g) Brick-and-click model [2 marks]

A brick-and-click business sells through both physical stores and online channels.

Q1(h) Moment of Truth [2 marks]

A Moment of Truth is a point where a customer interacts with a brand and forms or changes an opinion, such as using the product or receiving customer service.

Q2(a) Showrooming and webrooming [5 marks]

Showrooming: customer visits a store to inspect a product, then buys online, often to compare prices. Webrooming: customer researches online, then buys in a physical store. Showrooming helps online sellers but can reduce store sales; webrooming can benefit stores by converting online research into an in-person purchase.

Q2(b) Functions of a marketing manager [5 marks]

A marketing manager researches customers and competitors, sets marketing objectives, selects target markets, plans the marketing mix, manages advertising and sales promotions, coordinates distribution, controls budgets and measures results. Example: for a new snack, the manager studies demand, sets a price, chooses retailers and checks sales performance.

Q2(c) Criteria for effective segmentation [5 marks]

Effective segments should be measurable, substantial, accessible, differentiable and actionable. Measurable means size can be estimated; substantial means worth serving; accessible means reachable; differentiable means groups respond differently; actionable means the company can design a suitable plan. Example: college students interested in affordable sportswear may form a reachable segment.

Q3(a) Segmentation, targeting and positioning for a festival clothing line [10 marks]

Segment by age, income, region, style and buying behaviour. Target young adults and families seeking festive clothing at affordable or mid-range prices. Position the line as stylish, comfortable and culturally suitable for celebrations. Offer regional designs, multiple sizes, coordinated family outfits and online/offline shopping. Promote through social media, festive displays, influencers and limited-period collections. Measure sales and customer feedback.

Q3(b) Marketing environment for an electric vehicle in India [10 marks]

Macro factors include fuel prices, income, charging infrastructure, technology, government policy, environmental awareness and regulations. Micro factors include buyers, competitors, dealers, battery suppliers, charging providers and service centres. Opportunities include lower running costs and growing interest in cleaner transport. Challenges include upfront price, range concerns, charging access and battery replacement. The company should explain total cost of ownership, provide test drives, build charging/service partnerships and offer clear warranty terms.

Q4(a) Buying behaviour for a traveller booking a vacation online [10 marks]

Need recognition: the traveller wants a holiday. Information search: they browse travel portals, reviews and social media. Evaluation: compare destination, dates, price, hotel, transport, cancellation policy and ratings. Purchase: select a package, enter details and pay securely. Post-purchase: review the trip and share feedback. Clear information, trustworthy reviews and flexible cancellation influence the decision.

Q4(b) Buying behaviour for noise-cancellation headphones [10 marks]

Need recognition: Shankar wants to reduce noise. Information search: he checks online stores, reviews and product specifications. Evaluation: compare noise cancellation, sound quality, battery, comfort, price, warranty and compatibility. Purchase: select a trusted brand and seller, check delivery and return terms, then pay. Post-purchase: tests comfort and performance and may recommend or return the product.

Q5(a) Product Life Cycle strategies for sports bicycles in India [10 marks]

Introduction: educate customers about fitness, commuting and bicycle features; offer trial rides and entry-level models. Growth: expand dealers, online sales, service and accessories; add models for commuting, fitness and trails. Maturity: differentiate by durability, comfort, design, warranty and after-sales service; use bundles and loyalty offers. Decline: update designs, target specialised users or discontinue low-demand models. Consider road conditions, price sensitivity, safety equipment and local preferences.

Q5(b) Marketing mix for an online food delivery app promising 10-minute delivery [10 marks]

Assumption: service operates only in limited neighbourhoods with nearby partner kitchens or micro-fulfilment hubs. Product: a limited menu of fast-preparation food and snacks. Price: competitive prices, clear delivery fees and introductory offers. Place: app-based ordering within a small delivery radius. Promotion: local digital ads, referral offers and loyalty rewards. People: trained kitchen and delivery teams. Process: accurate inventory, order tracking and safe preparation. Physical evidence: sealed packaging and visible hygiene standards. The company should promise 10 minutes only where operationally realistic and must not compromise food safety or worker safety.